Self-assessment and payment of tax by individuals

Content

A The UK Tax system and its administration

4. The time limits for the submission of information, claims and payment of tax, including payments on account

5. The procedures relating to compliance checks, appeals and disputes

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1. Tax return

1. Submission of tax return

A single tax return is used to report income and capital gains for the tax year.

I. Due Filing date of tax return (2025-26)

Later of

- **Deadline**
  - Paper tax returns: 31 October 2026
  - Online tax returns: 31 January 2027
- HMRC issues the taxpayer a notice to file a tax return + 3 months

Lecture example 1

A, B and C are your three clients. The date of notice to file tax return issued by HMRC are as follow:

A On 15 May 2026

B On 2 Sep 2026

C On 25 Nov 2026

Advise each of the clients of the latest filing date for their personal tax return for 2025-26 if the return is:

a. Paper

b. Electronic

1. Tax return

II. Give notice of chargeability

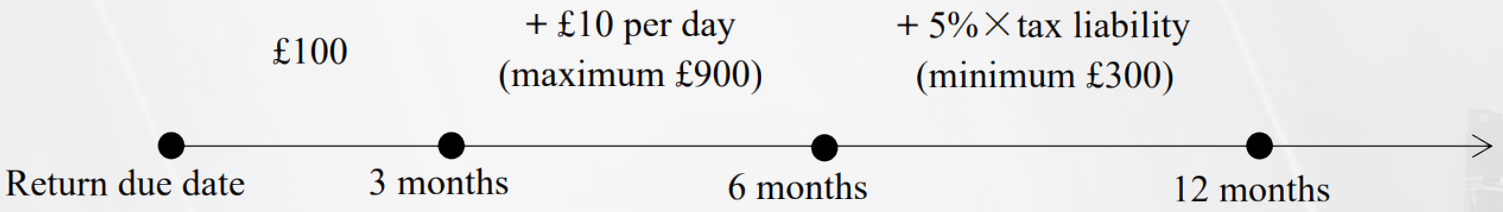
Due date of giving notice of chargeability (2025-26):

6 months after the end of the tax year (5 October 2026)

If tax return is not submitted by due filings date by taxpayer, even if notice issued by HMRC has been received, an officer of HMRC may make a determination of the amounts that the taxpayer is liable.

1. Tax return

1.2 Penalties for late submission of tax returns



＞ 12 months	Further penalty (Minimum of £300)
Any other case (e.g., careless)	5% of tax liability
Deliberate not concealed	70% of tax liability
Deliberate and concealed	100% of tax liability

2. Payment of tax

2.1 Payment for tax year 2025-26

I. Income tax, NIC & CGT

Payment	Time (25-26)	Payment £	
1st Payment on account	31 January in the tax year (2026.1.31)	**Payment**	**Time (25-26)**
		1st Payment on	31 January in the t
2nd Payment on account	31 July following the tax year (2026.7.31)	**Payment**	**Time (25-26)**
		1st Payment on	31 January in the t
Balancing payment	31 January following the tax year (2027.1.31)	25-26 income tax payable + 25-26 Class 4 NIC – 1st POA – 2nd POA	
Capital gains tax	Within 60 days of disposal	Payment on account on residential property	
	31 January following the tax year (2027.1.31)	25-26 Additional CGT	

2. Payment of tax

II. No payment on account

Previous year (Income tax +Class 4 NIC) < £1,000, or

Previous year PAYE > 80% tax liability, or

For a taxpayer's first year of self-assessment

2. Payment of tax

2.2 Late payment on account and reduce payment on account

I. Late payment on account

- Late payment of account will only charge interest. (8.50%)
- Payment of account overpayment, interest will be repaid. (3.50%)
- Interest runs from the due date to the actual date of payment.

2. Payment of tax

II. Reduce payment on account

- Taxpayers could make a claim to reduce the payments on account to stated amount, even nil.
- If the actual tax liability ends up being higher, then interest will be charged on the underpaid POA**.**
- **Correct POA without suffering an interest on late payment = Lower of:**
  a. 1/2× (24-25 income tax payable +24-25 Class 4 NIC) (required POA)
  b. 1/2× (25-26 income tax payable +25-26 Class 4 NIC) (actual tax liability)

2. Payment of tax

2.3 Late balancing payment

Late payment of balancing payment will charge interest (8.50%) and penalty.

Late balancing payment	Penalty
X ≤ 1 month	0
1 month ＜ X ≤ 6 months	5% × unpaid tax at penalty date
6 months ＜ X ≤ 12 months	Further 5% × unpaid tax at the end of 6 months
X ＞ 12 months	Further 5% × unpaid tax at the end of 12 months

Lecture example 2

Rose was liable to make two payments on account for 2025-26 of £8,800 each as her income tax payable for 2024-25 was £17,600.

In May 2026, Rose claimed to reduce her second payment on account to £8,000. This reduced payment was actually paid on 31 October 2026.

Rose's actual income tax liability for the tax year 2025-26 was £21,000. She paid the full balance outstanding on 31 January 2027.

How much interest is payable by Rose to HMRC in respect of his second payment on account for the tax year 2025-26?

3. Amendment and error

3.1 Amendment due

Taxpayer: Due Filing date + 12 months

HMRC: Actual filing date + 9 months

(Correct any obvious errors or anything else that an officer has reason to believe is incorrect in the light of information available)

3. Amendment and error

3.2 Penalty for error in return

Rate % × unpaid tax

Taxpayer behaviour	Maximum penalty No disclosure	Minimum penalty - Unprompted disclosure	Minimum penalty - Prompted disclosure
Deliberate and concealed	100%	30%	50%
Deliberate but not concealed	70%	20%	35%
Careless	30%	0%	15%

4. Keeping records

4.1 All records (not only business records)

Taxpayer is in business (sole trader/partner/letting property):

5 years after 31 January following the tax year (2025-26: 2032.1.31)

Other taxpayers:

1 year after 31 January following the tax year (2025-26: 2028.1.31)

4.2 Penalty for failure to keep records

A failure to retain records could result in a penalty of up to £3,000 per tax year.

5. Compliance check

HMRC has the right to enquire into the completeness and accuracy of any self-assessment tax return which is called compliance check. HMRC should issue written notice of compliance check.

The deadlines of the compliance check notice are:

Submitted return on time

Actual submitted date + 12 months

Submitted return late

Quarter day following actually submitted date + 12 months

Quarter dates: 31 January, 30 April, 31 July, 31 October

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Quizzes(self-practice)

Quiz 1

Petro is self-employed. His income tax liability for the tax year 2025-26 is £8,300, of which £8,000 was paid by PAYE, and he had a capital gains tax liability of £650. Petro normally makes payments on account towards each tax year.

What is the amount of the first payment on account that Petro should pay towards the tax year 2026-27?

A.£150
B.£475
C.£0
D.£4,150

Quiz 1-A

The correct answer is **C**.
More than 80% of tax was deducted at source, and the balance is less than £1,000, so no payments on account are required for the tax year 2026-27.

Quiz 2

Jeffrey has been found to have deliberately understated income in his personal tax return, although he did not conceal this.
What is the maximum penalty that Jeffrey can be charged for his incorrect tax return?
A.70%
B.100%
C.30%
D.50%

Quiz 2-A

The correct answer is **A**.
The maximum penalty for deliberate understatement with no concealment is 70%.



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THANK FOR WATCHING